Phase I −− Local cycle−factor predictability across the G10

Country	c(1)	t	c−bar	t	R2	Wald p	N
Belgium	−0.42	(−3.40)	0.55	(4.63)	0.305	0.000	353
Germany	−0.35	(−3.35)	0.48	(4.97)	0.261	0.000	352
France	−0.39	(−4.03)	0.52	(4.24)	0.128	0.000	352
Italy	−0.26	(−1.44)	0.59	(3.17)	0.285	0.000	352
Netherlands	−0.36	(−3.12)	0.55	(5.43)	0.344	0.000	353
Switzerland	−0.11	(−1.18)	0.26	(1.78)	0.074	0.196	353
UK	−0.41	(−4.35)	0.54	(4.52)	0.264	0.000	352
Sweden	−0.26	(−1.91)	0.44	(3.34)	0.241	0.001	352
Canada	−0.23	(−2.38)	0.41	(4.50)	0.329	0.000	352
Japan	−0.30	(−1.48)	0.46	(2.13)	0.185	0.023	366
US	−0.40	(−3.17)	0.78	(4.32)	0.330	0.000	412
G10 panel	−0.33	(−10.77)	0.51	(15.70)	0.256	0.000	3949

LHS: duration−standardized, maturity−averaged one−year excess return rx_bar_{i,t+12}. Each row is rx_bar ~ c^(1) + c−bar by country; the local cycle factor CF is the fitted value of this regression. Newey−West HAC t−stats (12m overlap) in (.); Wald p is the joint test that both cycle slopes are zero. 'G10 panel' adds country fixed effects. In−sample R^2. Sample as in Table 4.1.